Comparing Post-Keynesianism and Modern Monetary Theory: The Importance of Ontology and Sociology

Authors
Phil Armstrong
Neil Wilson

Abstract
This paper utilises Marc Lavoie's 2024 critique of Modern Monetary Theory (MMT) to contrast the ontological foundations, methodologies, and policy implications of MMT with those of Post-Keynesian (PK) economics. We argue that disagreements between these schools reflect fundamental ontological divergences rather than technical nuances. Post-Keynesian economics models the economy as a private-sector-led system where the state intervenes reactively, while MMT positions the state as the constitutive architect of monetary systems, designing market operations through taxation, currency issuance, and fiscal policy. Key areas examined include treasury-central bank operations, external sector dynamics, unemployment, and interest rate policy. The paper also addresses MMT's intellectual origins in financial practice rather than heterodox theory and analyses sociological factors shaping its contentious reception within economics. We conclude that constructive MMT-PK dialogue requires acknowledging these ontological roots to reconcile divergent policy prescriptions.

Keywords
Modern Monetary Theory, Post-Keynesian Economics, Ontology, Economic Sociology, Job Guarantee, Consolidated Accounting, Interest Rates, Exchange Rates, Heterodox Economics

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1. Introduction

This paper utilises Marc Lavoie's (2024) critique, "MMT: The Good, the Bad and the Ugly,"[1] to systematically contrast the ontological foundations, methodological approaches, and policy implications of Modern Monetary Theory (MMT) with those of Post-Keynesian (PK) economics. Although Lavoie identifies significant areas of overlap between the two schools, we contend that the remaining distinctions largely stem from a deeper ontological divergence, rather than mere technical nuances. It is a disagreement about the elemental nature of the state, its currency, and markets.

The structure of the paper reflects this insight. In Sections 2 and 3, we outline the distinct ontological premises that underpin the PK and MMT frameworks. We show how PK models typically imply a currency-neutral, private-sector-led economy into which the state intervenes. In contrast, MMT begins with the state as the constitutive architect of monetary economies that designs the institutional structure of market operations.

Section 4 examines the analytic tool of consolidation and the operational relationship between state treasuries and central banks, directly addressing Lavoie's critique. We argue that MMT's use of consolidation is a standard financial pedagogical tool that promotes the understanding of institutionally directed policy outcomes of state monetary systems.

In Section 5, we address differences in the treatment of the external sector. We contrast PK's implicit two-body model of international finance with MMT's n-body ontology, which recognises distinct and independent monetary operations within currency zones and the policy space afforded by independent currencies.

Section 6 tackles the issue of unemployment. Where PK economics views unemployment as a failure of private investment or demand management, MMT identifies it as a structural consequence of the state's monopoly over tax liabilities and subsequent currency issuance. This perspective includes the concept of what is colloquially known as a 'Job Guarantee' as a fundamental element of its monetary analysis.

Section 7 considers interest rate policy and exchange rate regimes. We highlight how MMT reframes the policy toolkit available to governments operating a currency under floating exchange rates, challenging inherited assumptions and implications from both PK and mainstream traditions.

Section 8 reflects on the intellectual origins of MMT and addresses claims regarding its novelty and scholarly conduct. We argue that MMT emerged independently through applied financial observation rather than as a derivation of prior heterodox theories, and we consider the sociological factors shaping the reception of MMT within the broader economics profession.

[1] This chapter was published in (Jefferson and King 2024) alongside a chapter outlining the contribution of Modern Monetary Theory to heterodox economics (Armstrong 2024).

We conclude by affirming the potential for constructive dialogue and collaboration between MMT and PK economists, but stress that such engagement must begin by addressing the ontological foundations on which each school builds its analysis.

2. Post-Keynesian Modelling: A Currency-Neutral Ontology.

In the PK tradition, economic models are generally constructed from a non-government, closed-economy baseline. The private sector, consisting of households and firms, interacts in markets using money, derived from prior barter societies, as a medium of exchange, with banking systems endogenously supplying credit[2]. The role of government is often introduced as an overlay: a stabiliser that injects demand when private investment falters or as a distributor of income through taxation and expenditure policies.

This modelling structure is underpinned by a tacit ontological premise: that the economy exists independently of the state[3]. Money, which evolved from historical barter societies, exists due to private credit creation, and the government is mainly reactive to any developments. Even where the state is recognised as necessary, for example, in the endogenous money tradition (see, for instance Kaldor 1970; Davidson 1972; Moore 1979; Keen 2018), it is not treated as constitutive. Furthermore, in many PK models (for instance, Carnevali and Deleidi 2023; Godley and Lavoie 2012), the external sector is reduced to a single aggregate actor, the "rest of the world", thereby flattening the asymmetric realities of independent currencies and international finance.

This orientation leads PK theorists to consider macroeconomic issues, such as unemployment, inflation, or exchange rate dynamics, as primarily the outcome of interactions between private agents, mediated by banking systems. Government actions are analysed regarding their impact on already-existing markets and institutions. The implications of this modelling approach are significant. For example, unemployment is most frequently understood as a byproduct of insufficient private sector investment or a breakdown in consumer-related effective demand, often linked to capital accumulation, profit squeeze dynamics, or global competitiveness. These presumptions then limit subsequent analysis and proposals.

While such views reflect a Keynesian theoretical lineage, they miss the deeper institutional and operational mechanisms by which money and markets are created. By failing to recognise the state as a foundational actor that holds direct responsibility for outcomes, PK models maintain an ontology that struggles to account for the endogenous causality of state money creation and its implications for employment, inflation, and policy space.

[2] "absent from most Post Keynesian and Circuit analyses is the institutional process by which a token obtains its value (becomes money)" (Mosler and Forstater 2018, 1)

[3] It may be that Post-Keynesians are aware of the role of the state in the development of money and markets (see, for example, Stockhammer 2020) but, nevertheless, the structure of their models seemingly prevents them from understanding the full implications of this in their theorizing.

3. MMT Ontology: State-Created Money and the Primacy of Provisioning

MMT challenges the foundations of Post-Keynesian ontology. It begins not with markets or private agents, but with the institutional architecture of the state and its authority to impose tax liabilities and to issue a currency accepted in settlement of those liabilities. Central to MMT's analysis of the monetary economy is the state's need to provision itself, a need it fulfils by imposing a coercive tax obligation and declaring its currency as the unit required for settlement. Consequently, this initial condition generates demand for the state's money, as sellers of goods and services seek to exchange their products for state currency. Thus, from this perspective, money is inherently understood not as a neutral medium or a veil over barter, but as a state-issued credit that compels the transfer of real resources to the public domain (Mosler 2010; 2013; 2021; 2023; Mitchell et al. 2019; L. R. Wray 1998; 2015; 2025).

The ontological sequence in MMT is thus: impose a tax liability, spend, drain. First, the state levies taxes, creating a need for the currency. Second, it spends by issuing currency into the economy to settle its purchases of goods and services. Third, excess settlement balances are drained through tax payments and bond issuance. The implication is that the state, ab initio, must spend before agents can pay taxes (or purchase state securities), since they cannot transact in a currency they do not yet possess, reversing the traditional and PK narrative of public finance, and undermining all economic models that imply that the state must acquire money from the private sector before it can spend.

In this framework, unemployment, by design, is a direct consequence of monetisation. By imposing tax liabilities in a currency that only the state can issue, the state creates a pool of people seeking to obtain that currency through labour. If the state does not employ them, they remain unemployed. Hence, unemployment is not a natural market outcome but a policy choice. This causal sequence defines MMT's approach to macroeconomic policy, particularly its advocacy for a Job Guarantee (JG) as both an optimisation mechanism and a moral imperative to 'right the wrong' initially created by tax requirements.

The MMT ontology treats the state not as a participant in the monetary economy but as its architect (Mosler 2013; 2023; Invernizzi 2021). Markets and private activity occur within the parameters set by state institutional design. This approach means that MMT modelling prioritises operational realism, drawing heavily on accounting structures, institutional protocols, and the real-world mechanics of what is commonly referred to as money creation and distribution. In contrast to PK modelling, which often abstracts from institutional detail, MMT builds theory from the ground up, starting with how a currency works.

4. Consolidation and Operational Realism

4.1 The Analytic Value of Consolidation

One of the recurring critiques Lavoie (2024) directs at MMT is its use of the consolidated government sector, treating the central bank and the treasury as a single entity. He argues this simplification obscures institutional realities, particularly in jurisdictions where formal legal separation exists. However, this critique overlooks the pedagogical role of the consolidation tool, not only in MMT, which clarifies the operational realities it aims to address, but also in financial analysis in general, where all corporations are legally required to produce consolidated balance sheets. Academics could be excused for not recognising the value of this policy tool, which is the first language of those with direct experience in capital markets.

Addressing Lavoie, MMT does not claim that central banks and treasuries are legally identical; instead, MMT points out that while they are institutionally separate, they are functionally integrated agents of states that issue currency. Lavoie's analysis tends to emphasise select distinctions of legal form over operational function, and subsequently misrepresents MMT's use of consolidation as a normative claim rather than a descriptive, analytic tool. Furthermore, in standard financial analysis, consolidation refers to the application of international group accounting rules[4] to entities under common control, which includes the Treasury and the Central Bank. These rules enable decision-makers to understand the overall financial position and performance of an entire group of entities. To argue against the use of consolidation in MMT is to argue against scholarly research that encourages the use of consolidation within both the public sector and the private sector, where consolidated balance sheets and income statements are the primary tools of analysis[5].

In the United States, for example, the Treasury and the Federal Reserve are both agents of Congress that coordinate daily to ensure the smooth implementation of fiscal policy. Although operationally distinct and accounted for individually, the Treasury relies on the Fed to settle payments, while the Fed adjusts liquidity conditions to maintain its target policy rate. And while policy directs the Treasury to issue bonds to raise funds for spending, it is the Fed that lends the funds to designated primary dealers to pay for the Treasury bonds those dealers purchase. That is, the funds to buy bonds from the Treasury come from the Fed, both of which are agents of Congress, which is the legislative branch of the US government.

Examining the Fed and Treasury on a consolidated basis underscores MMT's assertion that the funds used to purchase Treasury bonds originate from the same government, and the observation that Treasury bond sales serve to drain settlement balances created by prior government expenditures. This sequence is reiterated in central bank documentation and the testimonies of practitioners. There is no operational sense in which the federal government as an entity must first "obtain" money from bond markets to spend, even as government policy dictates that the Treasury must obtain funds before spending. Operationally, the state spends by

[4] IFRS 10 (Consolidated Financial Statements)

[5] For example Cîrstea (2014), in relation to consolidated financial reporting in the public sector, considers "that public sector entities should prepare these consolidated reports"

debiting the Treasury General Account and crediting bank settlement accounts supplied by and held at the Fed. The institutional structure, in this case, the primary dealer system, ensures that policy regarding the Treasury is not an operational obstacle.

A similar structure exists in the UK. The Exchequer Pyramid, a multi-tiered accounting system still in use, demonstrates how HM Treasury operates through a functional overdraft facility with the Bank of England. While the Bank of England is often described as independent, in practice, its role as the government's fiscal agent means its independent actions are significantly constrained by law. Berkeley et al. (2023; 2025) describe how government expenditure is carried out by directly crediting settlement accounts at the Bank of England and debiting public deposits, regardless of the current state of those deposits. Bond issuance is a liquidity-management operation, not a financing requirement. HM Treasury does not require prior taxation or bond sales to spend.

Furthermore, the idea of truly separate balance sheets is questionable from a consolidated accounting perspective. HM Treasury indemnities backstop the Bank and a formal recapitalisation framework ensures its owner, HM Treasury, ultimately bears any significant losses (HM Treasury 2018). The government budgetary process (the Supply Estimates) already assumes fiscal responsibility for the revaluation of its assets, including its wholly owned central bank. Insisting on a strict separation of the accounts thus overlooks the consolidated reality of the UK's public finances.

Likewise, the Bank of Canada falls into this category. The Bank is a creature of the state, and the Act of Parliament that instituted it makes it very clear that it is to coordinate with the government of Canada and provide it with the mechanisms necessary to make payments. The statute is unambiguous: "The Bank shall act as fiscal agent of the Government of Canada". Nobody within the Bank can say 'no' to an order from the Receiver General properly authorised by Parliamentary appropriation, regardless of the present state of the public deposits. If they tried, the courts would side with the Receiver General, rather than the Bank. That is where the interaction of a government with its bank differs from that of any other legal person with its bank. It is a matter of statute, not contract, and pertains to the constitutional order.

4.2 Consolidation and the Involuntary Default Constraint

Consolidation helps clarify the key relationships and mechanisms in fiscal operations by focusing on the essential elements. It shows that government spending increases balances within the private banking system, while taxation and bond sales decrease those available balances[6]. Clearing away the noise, using standard accepted accounting practice, reveals that the processes of appropriation (government spending) and the "ways and means" process

[6] Which includes Canada: "The Bank of Canada provides settlement accounts to direct participants in Lynx, direct clearers in the Automated Clearing Settlement System (ACSS) and direct participants in the planned Real-Time Rail (RTR). Payments Canada owns and operates these systems, but final settlement of payment obligations in these systems occurs through settlement accounts on the books of the Bank of Canada." (Bank of Canada 2025)

(taxation and bond issuance) operate separately and asynchronously[7]. This operational reality also directly underpins MMT's assertion that a government, issuing debt solely in its own currency, cannot face an *involuntary economic default*. The Treasury, through the central bank, can always meet its obligations in the state's currency[8].

Lavoie (2024, 73) expresses concern over the claim that "a government cannot default if its debt is issued in the domestic currency, whatever the institutional set-up." MMT's published discussion point, however, repeatedly refers to the *operational capacity* to pay, whereas Lavoie's statement concerns willingness to pay[9]. That is, his criticism fails to distinguish between the ability to pay and the willingness to pay, rendering his criticism an error of omission on his part.

Crucially, Lavoie, like many critics, does not specify the precise circumstances he envisions where an involuntary default would occur, nor how such a scenario would be both operationally and politically advantageous for a central government[10]. A clear articulation of who or what entity possesses the authority to refuse payment unilaterally, and how that authority would enforce such a position against an elected government and legislature determined to do otherwise, remains underexplained within this critique[11]. In contrast, the MMT approach seeks to identify the specific institutional and legal mechanisms that would enforce such a 'no' as a prerequisite to arguing, for example, that these mechanisms are typically absent or politically untenable.

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[7] Treasury Taxation and Loan (TTL) accounts in the US, held in the private banking system by the Treasury, similarly remove balances from private use but without shrinking the balance sheet of the banks, avoiding the need for repos to restore liquidity ratios. The operational effect is the same: private actors have less currency available to them. Hence why TTL balances disappear on consolidation, cancelled by equal and opposite settlement balances. This consolidation highlights the analytical flaw Lavoie (2024) makes: mistaking form for substance.

[8] Courts are legally compelled to side with the creditor and will order the Treasury to make payments. This is a matter of statute, not contract, and, again, pertains to the constitutional order in many, if not most, jurisdictions such as under section 4 of the 14th Amendment in the USA, or the National Loans Act 1968 in the UK.

[9] Therefore, while a political default is theoretically possible, stemming from self-imposed legal restrictions like debt ceilings or overdraft prohibitions, these are contingent, mutable institutional choices rather than economic operational necessities. The recurring debates over the US debt ceiling exemplify such political decisions. While potentially catastrophic for the payment system and possibly violating a nation's constitution, these actions have no material constraining effect on the operational capacity to pay. They can never be meaningfully enforced against a political mandate in any jurisdiction where the physical equipment operating the central bank remains within that jurisdiction.

[10] Bearing in mind that a 'default' is really a political choice to tax bond holders 100% of their holdings at source. Ultimately obtaining currency from the government to pay taxes, directly or indirectly, is the alternative to the government confiscating your assets and liberty. While it remains the cheaper option, obtaining the currency is what people will do.

[11] In 2015, the Hellenic Central Bank's ability to act on the will of the Greek people was severely limited, as it functions more like a virtual central bank, relying on physical Eurosystem infrastructure controlled by Germany and Italy. This made unilaterally floating a 'Greek Euro' impossible logistically.

What we find is demonstrated by Lavoie's use of qualifying phrases that hedge his claims, such as: "at least before quantitative easing took over", "the Eurozone before 2010", and "before Covid-19" (Lavoie 2024). When restrictions are placed over the monopoly issuer of a currency, and those restrictions are tested against reality, they fail, demonstrating that the dynamic pressure within economic mechanisms is towards the state of affairs MMT describes. Canada has replaced LVTS with Lynx (Bank of Canada 2022), Tye (2023) describes the history of the UK's 'sinking funds', their failure and subsequent abolition, and Ehnts (2024) describes the rapid rule changes made to the Eurosystem when it was placed under stress. As Ehnts and Wray (Ehnts and Wray 2024) summarise:

> *We think that the 'anti-Chartalist case' is fundamentally unstable and cannot survive — it is not a viable option. It will sooner or later be transformed into the neo-Chartalist or the post-Chartalist case*

5. External Sector: PK Abstraction vs. MMT Specificity

Lavoie's critique of MMT, particularly concerning the external sector, often relies on an appeal to existing literature (Lavoie 2024, 11–12; citing Prates 2020; Vergnhanini and De Conti 2018). While these references highlight common PK concerns regarding external constraints and alleged ‘currency hierarchies’, they may underappreciate a fundamental ontological divergence that underpins the MMT perspective. This section argues that the perceived shortcomings of MMT in this domain, from a PK viewpoint, stem from an implicit ontological assumption within Post-Keynesianism that differs significantly from MMT's foundational understanding of international finance.

The PK approach, in its analysis of the external sector, often implicitly operates as if the entire global economy were, at its core, a single currency zone. From this perspective, a national currency is viewed as a deviation, anomaly, or perturbation from a presumed norm, resulting in a ‘two-body problem’ framework for international trade and finance (Carnevali and Deleidi 2023; Godley and Lavoie 2012). In this model, the focus tends to be on the relationship between a domestic economy and a generic ‘rest of the world,’ often overlooking the independent currencies of individual nations. This leads to an overemphasis on balance of payments constraints and the notion that a nation's ability to import is inherently limited by its ability to export and earn foreign currency (e.g. Carnevali and Deleidi 2023), with tacit assumptions of fixed exchange rate limitations[12].

MMT, in contrast, starts from an entirely different ontological premise: that every state issuing its own fiat currency is a monopoly issuer of that currency. This fundamental understanding implies that, while currency zones may exist and their separate currencies float relative to one another, they are operated independently of each other. With a floating exchange rate policy, there is no overarching, central global structure or a single, unifying financial ‘gravity’ in the same way that there isn't a central point in orbital mechanics for every celestial body. Instead, each currency system operates under its own rules, with its value relative to other currencies determined by a myriad of factors, including supply and demand, economic performance, and state policy choices such as prices paid by the state. This renders the international monetary system an ‘n-body problem,’ inherently complex and, in a purely deterministic sense, mathematically intractable in a way that a simplified ‘bond-market clearing’ model (Godley and Lavoie 2012) cannot capture.

This ‘n-body’ perspective profoundly reconfigures the understanding of the external sector. From an MMT viewpoint, a state's primary function for a monetary economy is to provision itself for the public purpose. To that end, it imposes a tax liability, which creates a demand for its otherwise worthless fiat currency. When a state chooses to provision itself from abroad—that is, to import goods and services—it does so by supplying its currency to foreign entities offering the desired goods and services in exchange for that currency. These foreign entities, now holding the state’s currency, will then seek to use it or save it. Domestic entities, which face the tax

[12] “Following the Godley/Lavoie approach to open-economy SFC modelling, if the nominal exchange rate floats it may be written as the price that clears the domestic bond market” (Mazier and Valdecantos 2019).

liability imposed by their government, will offer goods and services for sale to both domestic and international buyers to obtain the currency needed to satisfy their tax obligations. Therefore, for a currency-issuing nation, exports are not a prerequisite for, per se, funding imports but rather as the cost incurred to obtain imports. Furthermore, the denomination itself, along with other derived financial instruments issued in that denomination by the state (such as government bonds), is at root a tax credit, a source of intrinsic value (Mosler and Forstater 2018), and thereby acts as an export item in its own right, as foreign entities demand it to facilitate trade or hold as savings[13].

From this viewpoint, ‘foreign’ and 'abroad' refer to any entity that operates in multiple currencies, regardless of its physical location or the precise geographical borders of a country. A currency zone of this nature does not necessarily align with the physical borders of the country associated with its currency[14]. The Eurozone, for example, clearly transcends national boundaries, and its influence extends to virtually all of the EU through various currency pegs, both hard and soft. Conversely, a currency zone can be smaller than a country if that country has weak enforcement mechanisms for its currency or has overly encouraged foreign firms to establish a physical presence while still primarily servicing other currency zones. This may lead to a state of affairs known colloquially as ‘dollarization’, which can vary in degree, officiality, and currency[15].

The fundamental insight is that, in every international transaction, the initiating agent transacts the currency they are constrained to offer, while the counterparty ultimately acquires the currency they prefer to retain[16]. The global financial system, with its complex web of exchange rates and payment mechanisms, exists precisely to enable this process. If the desired currency exchange or holding cannot occur, the entire exchange sequence, both physical and financial, simply does not happen in the first place. The MMT lens reframes the external sector not as a restrictive constraint on the domestic policy space but as a realm where distinct, independent monetary systems interact, driven by the underlying need to satisfy tax liabilities and facilitate resource allocation.

[13] There is always a source of demand for any currency, and therefore a potential financial exchange path, as there are people who have to pay taxes with that currency. This is one of the reasons why MMT analysts tend to propose a broad-based non-transactional tax base that is unchanging over the cycle.

[14] The shape and scope of a currency zone relative to the physical jurisdiction of that currency’s issuer is the alternative viewpoint to ‘currency hierarchies’.

[15] The Isle of Man, Gibraltar and Northern Ireland remain ‘sterlingised’ for example, despite the proximity of the Eurozone and having their own separate Exchequers.

[16] For example, nobody has ever gone to the supermarket armed with Chilean Peso in order to buy imported Chilean grapes.

6. Unemployment: Endogenous Failure or Fiscal Design?

6.1 A Foundational Disagreement: The Cause of Unemployment

No issue better illustrates the ontological divide between PK and MMT than the understanding of unemployment. PK theory typically explains unemployment as a consequence of insufficient aggregate demand, investment shortfalls, or labour market frictions (Stockhammer 2011). From this perspective, unemployment is an endogenous market failure that the government can ameliorate through demand stimulation or targeted interventions. Minsky, who preferred to be identified as a Financial Keynesian despite his recognition in the Post-Keynesian tradition, advocated for an 'employer of last resort' (ELR) scheme, where the ELR is seen as part of a policy set to manage the consequences of inherent market dynamics (L. R. Wray 2007). Indeed, the consistent use of the term 'ELR' rather than 'Job Guarantee' in PK discourse, as seen in sources such as King (2001) and Lavoie (2024), often serves as a subtle indicator of this 'policy set' approach, as distinct from the fundamental role it plays in the MMT ‘money story.’

In MMT, unemployment is not a market failure but a policy outcome. It arises from the state’s decision to tax in a currency it alone can issue, creating a demand for that currency. If the government fails to spend enough of its money in the economy to meet the private sector’s desire to pay taxes and to save, the evidence is that some people seeking to earn that currency are left unemployed. This unemployment is a logical and arithmetic consequence of insufficient net spending by the state. It is not, per se, due to business cycles or behavioural frictions, though the amount of direct state net spending required will vary with the level of private sector net spending.

6.2 The Job Guarantee: A Stabilising Anchor

The imperative behind MMT’s Job Guarantee (JG) proposal follows this logic directly. Since the state creates unemployment by design, via its monopoly over currency issuance and taxation, and as the state’s rationale is to provision itself and not to create residual, output-reducing unemployment, if there is any residual unemployment, it has a responsibility to correct its error. Furthermore, the JG offers a wage-floor job to anyone willing and able to work, establishing a nominal price-level anchor and functioning as a powerful spend-side automatic stabiliser.

Additionally, as a policy option, by setting the JG wage at an actual living wage and designing roles with appropriate intensity (Tcherneva 2018), the programme:

- Promotes the transition from unemployment to private sector employment, as private employers tend to prefer hiring individuals who are already employed.
- Eliminates the ‘participation-premium gap’: the extra wage—or corresponding reduction in income support—that arises (via market or government action) as a response to induce non-workers to forgo consuming their own time on income support and enter employment. Under a JG, this dead-loss gap disappears, as participants' time is consumed while employed in the same way as in any other job.

- Utilises idle capacity: the real-resource loss of having willing workers sitting idle when they could contribute productively, even if that is under a JG framework.

- Eliminates systemic labour exploitation: private operations whose business model relies upon socialising the cost of underpaid labour are eliminated from the market, freeing space for competitors whose business model depends upon productive capital investment.

During downturns, the JG pool expands, leading to increased fiscal outlays; during upturns, private sector hiring draws workers out of the JG pool, thereby reducing state expenditure. Expectationally, private workers can be more easily replaced by JG workers than the unemployed, and private workers can move to and from the JG at will[17]. These fiscal and expectational countercyclical mechanisms stabilise both output and prices, temporally and spatially.

6.3 Answering Critiques of the Job Guarantee

Many PK economists raise questions about the necessity and feasibility of the JG (e.g. Sawyer 2003; 2005; Palley 2014; 2015; 2018; 2020b). Such critiques reinforce this underlying assumption that markets exist independently of the state and that unemployment arises from private sector dynamics (e.g. Palley 2022). From an MMT perspective, the causal interpretation is different. The government, desiring to provision itself with labour, imposes taxes to create unemployment, and then offers jobs to those the tax caused to become unemployed. That is, to everyone who became unemployed due to the tax, intended or not[18]. The JG is not a discretionary social policy: a mere 'job creation programme'; it is the base case for analysis, and the burden of proof is on those who oppose it. The JG is the basis of the monetary logic that optimises the real output of a monetary economy.

Nonetheless, the proposal from PK economists has the state supporting aggregate demand at full employment levels, even with elevated inflation rates. MMT recognises this policy option within the context of a JG. Here, the state continues to support aggregate demand as the JG pool decreases to zero. Therefore, the PK criticism of MMT is a viable policy option within MMT; it is thus not a valid criticism.

The JG functions as a floor, not a ceiling, for wages and employment. Its purpose is to transition the unemployed to private sector employment, not to displace value-adding private or public sector workers[19]. There will be some corrective repricing upon the introduction of the scheme,

[17] This freedom of movement enhances low-wage labour market liquidity, leading to better job-matching and productivity. It also resolves the resentment issue inherent in targeted income support, as the JG is a universally available option.
[18] Which is due to the fact that the dual function of tax, to be broad based yet surgically precise, conflict with each other in a manner that cannot be resolved on the tax side (Wilson 2023).
[19] Any attempt to use the JG as a replacement for traditional public sector workers would leave the public sector short-staffed at the top of the business cycle, as workers take advantage of the private sector boom.

as the cheap labour option is eliminated from the market and firms adjust to the new price level[20].

> *However, this one-time increase should not be confused with inflation - which is a continuous increase in the price level. Such a significant one-time wage increase would not be unprecedented. In 1949 [in the USA], the minimum wage was nearly doubled without accelerating inflation, at a time when the economy was as close to true full employment as it has ever been in the postwar era*. (Tcherneva 2020, 90).

In jurisdictions where the minimum wage has been maintained at a more realistic level, the impact of corrective repricing will be lower. While some critics may perceive an oversimplified view of the wage bargaining process, we struggle to see how the JG differs from the imposition of a minimum wage in this regard. MMT argues that by establishing a stable nominal wage floor for the buffer stock of labour, the JG provides a crucial anchor that is superior to current policies of using the unemployed as a buffer stock.

Furthermore, MMT's diagnosis of unemployment as an unsatisfied desire to net save in the state's currency reframes debates about inflation and labour market policy. Where PK models often accept the "Phillips Curve" trade-off between inflation and unemployment (e.g. Carnevali and Deleidi 2023), MMT proposes an alternative narrative: the Non-Accelerating Inflation Buffer Employment Ratio (NAIBER)—the JG pool functions as a stabilising force superior to that of unemployment and not a source of additional inflationary pressure (Mitchell 1998; Mitchell and Mosler 2002a). Empirical studies by Tcherneva (2020, 97–100) and others support this view, showing that JG programs are superior to unemployment and can stabilise wages without crowding out private employment.

6.4 External Shocks vs. Distributive Choices

While the Job Guarantee effectively establishes a nominal price-level anchor by setting a floor for wages and thus, costs in the economy, critics often raise concerns about its ability to manage price pressures arising from external factors, such as increases in the cost of imported intermediate commodities or exchange rate depreciation. This critique, however, often reflects the differing definitions of the word 'inflation', a common issue in much of economic discourse.

As Mosler (2013, 70) reminds us:

> *Little or no consideration has been given to the possibility that higher prices may simply be the market allocating resources and not inflation.*

MMT distinguishes between a continuous rise in the aggregate price level (the academic definition of inflation) and one-time price adjustments that reflect changes in relative prices or resource allocation. For instance, a sharp increase in oil prices due to global supply shocks leading to more expensive imports is indeed a change in prices. However, these are better

[20] See Mitchell et al. (2019, 305–10) for an accessible description of the open economy dynamics.

understood as relative price adjustments driven by real resource constraints or shifts in the terms of trade, rather than a continuous, generalised inflationary spiral driven by excess aggregate demand.

The conventional framing of such price increases as inherently 'inflationary' often implicitly suggests that the appropriate policy response is to suppress domestic demand, including wages, to offset these external pressures. Such an approach is effectively prioritising the affordability of imports for specific segments of the population by accepting lower real incomes or higher unemployment for others. From an MMT perspective, this constitutes a distributive choice rather than a purely economic necessity, effectively using demand suppression as a means to alter the domestic terms of trade in favour of imported goods, rather than addressing the underlying real resource issues or designing a policy to achieve desired domestic distributional outcomes directly.

For a nation with an independent currency, MMT views exchange rate fluctuations differently: maintaining full employment fiscal policies, optimising the real terms of trade, and designing institutional structures to achieve desired domestic distributional outcomes collectively render foreign exchange markets inconsequential. In such a context, the currency remains internally stable, and fluctuations in exchange rates are understood as movements in other currencies relative to the domestic one, rather than instabilities in the domestic currency itself.

7. Interest Rates and the Floating Regime

7.1 The Zero Interest Rate as the Analytical Base Case

A further implication of MMT's ontological architecture is its understanding of interest rates within a floating exchange rate system. MMT holds that a currency-issuing government operating under a floating regime has no financial need to issue bonds or pay interest on its liabilities, and that a zero-interest-rate policy with no negotiable government securities is the base case for analysis. Once it is recognised that the state spends by creating settlement balances, and that the banking system is the only entity that can hold these balances, it follows that the government does not need to offer any inducement to attract those balances to alternative accounts at the central bank.

From this perspective, the payment of interest on treasury-issued debt or central-bank-issued balances is not a financial necessity for attracting funding, but rather a policy choice that may have originated in the institutional legacy of fixed exchange rate systems. Under gold standards or Bretton Woods-style arrangements, the government was required to offer interest to maintain reserves for currency convertibility against gold or a foreign currency and to manage capital flows. However, under a floating regime, such constraints do not apply. Mitchell and Mosler (e.g. 2002b) have repeatedly emphasised that the need to offer interest-bearing assets stems from an outdated ontology rooted in convertibility and scarcity.

In modern monetary systems, the overnight interest rate is set by a central bank's monetary policy committee to regulate the price of interbank lending. However, even here, MMT offers a unique insight-an alternative view: the natural interest rate with a floating exchange rate policy regime is zero. The central bank, if it desires to support a positive interest rate policy, must actively intervene to keep interest rates above zero, typically by paying interest on settlement balances or selling bonds to drain excess liquidity. If it did nothing, as a point of 'market logic', the overnight rate would collapse to zero because banks would have excess settlement balances[21] and no reason to borrow from each other.

This reframing has significant implications: if we accept the operational reality of settlement balances, then zero becomes the logical reference point, and the government can choose to operate a zero-interest-rate policy (ZIRP). Doing so eliminates the interest burden on the public purse and challenges the mainstream obsession with debt sustainability, as measured by debt service-to-GDP ratios. MMT thus reconfigures the debate around public debt: interest payments are optional, not intrinsic; bond issuance is a monetary policy tool, not a fiscal necessity; and budgetary space is determined by resource availability and inflation potential, not financing constraints.

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[21] "In a state money system with flexible exchange rates running a budget deficit" (Forstater and Mosler 2005)

7.2 Fundamental Policy Choice: Interest Rates vs Exchange Rates

A critical point of divergence emerges when considering the implications for foreign exchange. As John T. Harvey's comprehensive survey of PK exchange rate papers (Harvey 2025) highlights, a common conclusion within PK analysis is that, following Keynes's view, "a free float would lead to excessive volatility" (begging the definition of 'excessive'). The survey reveals that fixed exchange rate terminology, such as 'attracting capital' and 'defending currencies', remains in use. The result is an advocacy of fixed exchange rate regimes as a means of achieving stability (e.g. Davidson 2003), the dismissal of floating regimes as a secondary concern (Harvey 2009, 134), or a persistent reiteration of Keynes's Bancor proposals (Mazier and Valdecantos 2019; Keen, forthcoming), essentially a form of a managed or 'dirty' float. This perspective suggests "throwing out the floating exchange rate and keeping the interest rate".

In contrast, MMT's approach to foreign exchange, abstracting from distortions caused by expectations of continual interest rate adjustments, leads to a different conclusion: namely, to "throw out the interest rate and keep the floating exchange rate." For the purposes of analysis, MMT establishes a 'base case' that does not assume a fixed exchange rate regime. Instead, it advocates for a floating exchange rate framework, paired with a permanent zero interest rate policy (ZIRP), a stable and sufficient tax base, and a standing Job Guarantee (JG), the unconditional offer of employment to anyone willing and able to work. Under this framework, the burden of proof lies with those proposing deviations from the base case, and to date, no such alternative has been shown to offer superior outcomes.

Furthermore, when integrating a banking system into this model, Mosler (2012) proposes a corresponding 'base case' for banking, which includes appropriate asset-side regulations designed to align private credit creation with public purpose. This structure preserves the flexibility of a floating exchange rate to absorb external shocks, while enabling domestic policy, through ZIRP, the Job Guarantee, and progressive taxation, to prioritise full employment, price stability, and social equity, rather than subordinating domestic outcomes to the perceived imperatives of exchange rate management.

7.3 Debunking the "Asset Inflation" Critique

This fundamental disagreement over the role of the interest rate is central to the PK critique of MMT. Lavoie (2024), for example, acknowledges MMT's contribution to functional finance discussions (Lerner 1943; 1944), but does not engage with the full implications of its stance on interest. The interest rate position in PK thinking leads directly to the criticism that ZIRP would cause financial instability and asset inflation (Lavoie 2024, 15).

This criticism, however, suffers from three immediate flaws. First, its core terms, 'financial instability' and 'asset inflation', are seldom defined with any analytical rigour. Second, there is no empirical evidence to support Lavoie's assertion, and a large body of evidence to refute it. Finally, and more importantly, the critique fails to establish a causal mechanism through which these phenomena, even if present, would necessarily spill over to inflict harm on the real economy, such as causing widespread unemployment or a loss of real output. Without such a link, the concerns remain vague and, from an MMT perspective, which prioritises real outcomes, largely inconsequential.

Furthermore, the critique misidentifies the causal relationship between interest rates and asset prices. From an MMT standpoint, a policy rate above zero introduces distortion and instability. A positive risk-free rate provides a benchmark for all returns on capital, acting as a government subsidy for ‘liquid assets’. If that is withdrawn, there will inevitably be yield compression as portfolios are reconfigured. However, as we saw during the QE era, that is, at worst, a one-time repricing of certain assets, not ‘asset inflation’.

The empirical evidence for the claim that ZIRP is inherently destabilising in a system with an independent currency is weak. Japan’s experience, involving decades of near-zero rates without runaway asset price inflation or production excesses, stands as a powerful counterexample. Conversely, the United States has experienced significant asset price appreciation and credit-driven production excesses during periods of much higher policy rates. The historical record suggests that zero-rate policies are, in fact, more consistent with long-term price stability and moderate credit expansion.

7.4 The Job Guarantee as the Superior Stabiliser

The logical extension of MMT's ontological framework dictates that the primary locus of macroeconomic stabilisation should reside within the labour market, not the money market. It is the Job Guarantee (JG) mechanism, acting as the primary automatic stabiliser, that anchors employment and the price level, while the policy interest rate remains at zero. The burden of proof then rests with proposals for positive interest rate policies, which to date have proven unsupportable, thereby rendering the overnight interest rate a redundant and distortionary policy instrument for achieving domestic goals.

This shift reveals that numerous elements of current policy architecture, including interest payments by the currency issuer, the operations of monetary policy committees for interest rate setting, and government bond issuance for monetary and fiscal purposes, are functionally counterproductive for a currency-issuing government. The resources and human effort dedicated to these processes are economic dead losses, a significant diversion of human talent and capital into activities that serve no intrinsic public purpose.

These elements should be eliminated in favour of a superior framework that maintains a higher level of employment without sacrificing price stability. The MMT approach permanently increases national output by causing labour resources to remain employed that conventional frameworks, such as the “Phillips Curve”, are forced to leave idle.

8. Intellectual Origins and Status: MMT’s Emergent Ontology and Its Place in Economics

8.1 The “Intellectual Debt” Critique and MMT’s Practical Origins

The preceding sections have systematically detailed the ontological and theoretical divides that separate MMT and Post-Keynesian economics on core issues of macroeconomic management. However, these analytical differences alone do not fully account for the often acrimonious nature of the debate. To achieve a complete understanding, it is essential to analyse the sociological factors and distinct intellectual history that have shaped MMT's development and its reception within the wider heterodox community.

A central element of this sociological friction is the recurring critique, articulated prominently by Lavoie, that MMT fails to adequately acknowledge its intellectual debts. This perspective holds that MMT’s claims to novelty are overstated because its key insights derive from foundational Post-Keynesian and institutionalist thinkers such as Keynes, Kalecki, and Minsky. The charge, as Lavoie (Lavoie 2013, 5–7) puts it, is that “some give the impression that MMT came from nowhere,” ignoring its clear links to PK economics. However, this assessment overlooks the distinct trajectory of MMT’s development. MMT did not emerge from a reinterpretation of historical texts but from a practical engagement with the operational realities of modern financial systems.

For the last four years, Armstrong has been piecing together the history of MMT (Armstrong, forthcoming). The research was founded on extensive interviews involving Warren Mosler’s family, friends, and colleagues from the 1970s. Mosler independently developed “Mosler Economics” (later to become MMT) without prior reference to any of the leading heterodox thinkers of the past. Indeed, Mosler’s trading colleagues recall Mosler’s approach to trading being founded on an “MMT understanding" throughout the late 1970s and 1980s. MMT didn’t “come from nowhere”; it came from the mind of Warren Mosler.

Having developed and extensively discussed his ideas within the financial community in the 1970s and 1980s, Mosler first documented his thinking in 1993 with the self-publication of *Soft Currency Economics.* His ideas were only later introduced to the academic world in 1996 via an internet group, Post-Keynesian Thought (PKT) (Armstrong, forthcoming). Mosler had not read (or even heard of) Lerner, Knapp, or, to any significant extent, read Keynes, before developing MMT. It was only as academic economists connected with Mosler in the 1990s (in particular, Bill Mitchell, Randall Wray, and Mat Forstater) and beyond that the school developed and research into the nature of possible “precursors” followed (Armstrong, forthcoming). This led to the recognition that MMT is consistent with the work of previous scholars (some of whom are mentioned above).

MMT’s historical trajectory matters. MMT’s similarities to earlier thinkers, such as Knapp, Innes, Keynes, or Lerner, are coincidental rather than genealogical. MMT reached similar conclusions from a different direction. Its emphasis on state money, functional finance, and institutional analysis reflects an ontological orientation grounded in observation rather than textual exegesis.

The fact that MMT scholars later identified compatibility with historical literature does not imply derivation; rather, it confirms the robustness of their operational lens.

8.2 The Sociology of a Contentious Reception

Moreover, as Armstrong (forthcoming) has demonstrated, sociological resistance to MMT within heterodoxy appears to reflect a degree of disciplinary conservatism. This can manifest as an emphasis on established theoretical frameworks and interpretive approaches. MMT's refusal to adopt this posture, combined with its public engagement and growing policy relevance, has generated friction. However, this friction is better understood as a clash of academic cultures than a debate over intellectual lineage.

Armstrong's PhD thesis (2020b) utilised research that was later published in Armstrong (2020a); Lavoie (2024) frequently references this research in his critique. It revealed that the PK community was (and remains) a heterogeneous group regarding attitudes to MMT. At the time (2018-19), many PK economists had little or no contact with MMT research. Others had varying degrees of knowledge of MMT, and some seemed broadly supportive and interested in the work of MMT economists. A third group was (and remains) critical of MMT at least to some extent. Marc Lavoie has shown measured support for MMT over the years (Lavoie 2013). He has certainly been much more willing to highlight its strengths than other Post-Keynesians who take a strong anti-MMT position, for example, Palley (2020a).

Since 2020, criticism of MMT from PK sources has increased along with MMT's profile. To understand why this has been the case, we need to briefly consider the complex sociology of the economics profession (Armstrong 2020b). Mainstream hegemonic control of the discipline is well documented[22] (Lee 2009; Bilgrami 2015; Armstrong 2018; 2020b). Heterodoxy is regarded as peripheral by mainstream scholars, but, interestingly, heterodoxy has both an orthodoxy and a hierarchy (Potts 2020). Many heterodox economists regard MMT as an outlier (implying low status) for several reasons, including the clear absence of economists self-identifying as MMT advocates occupying academic positions in universities (especially the case in Europe[23]). In addition, there is currently no MMT academic journal or professional body of commensurate status to the Post-Keynesian Economics Society (PKES).

MMT's detractors see MMT as "under-mathematised" and lacking formal mathematical models (e.g. Palley 2014). However, one might ask if this is a problem rather than a strength? The ubiquitous nature of mathematical modelling in mainstream economics has not led to success in explaining real-world events or predicting them in advance. Crises have revealed the failings of

[22] For example, Buiter (2009 parentheses in original) notes, "Most mainstream macroeconomic theoretical innovations since the 1970s (the New Classical rational expectations revolution associated with such names as Robert E. Lucas Jr., Edward Prescott, Thomas Sargent, Robert Barro etc, and the New Keynesian theorizing of Michael Woodford and many others) have turned out to be self-referential, inward-looking distractions at best. Research tended to be motivated by the internal logic, intellectual sunk capital and aesthetic puzzles of established research programmes rather than by a powerful desire to understand how the economy works – let alone how the economy works during times of stress and financial instability. So, the economics profession was caught unprepared when the crisis struck."

[23] None of the leading UK-based MMT advocates occupy tenured university positions.

the mainstream approach. The DSGE models favoured by mainstream economists proved useless during the global financial crisis (GFC) (Armstrong 2020b). Lawson (2020) provides a damning indictment of mainstream economics – one which stretches back a long way, “For the last sixty years or more economists have chosen their method – mathematical modelling — in advance of forming their questions. They do not ask ‘what is the nature of the task, problem or context?’ because they have determined the tool to be employed in advance. So, with the rise of mathematical modelling, we find a decline of explicit ontological reasoning, resulting, of course, in the increasing explanatory failures of the discipline”.

MMT’s strongest critics (who lie outside Post-Keynesianism in the main) often argue forcefully that MMT is only a “political movement” or “policy platform," thereby denying its theoretical contribution altogether (Drumetz and Pfister 2021; see also Armstrong 2023). This critique sometimes appears to be made with only limited engagement with primary MMT literature. Some have perceived MMT's increasing visibility as challenging both mainstream hegemony (Galbraith, interviewed in Armstrong, forthcoming) and the existing hierarchy within heterodoxy. Understanding the sociology of the economics profession helps contextualise specific criticisms of MMT.

8.3 On “Unscholarly Behaviour”: Distinguishing a Social Movement from an Academic School

In addition, MMT’s ability to create and maintain a social movement for progressive change, built on a new understanding of economics, has been denigrated and used to devalue its status. The desire of members of this social movement to engage in forceful debate with academic economists, including leading Post-Keynesians, has caused significant disquiet among the latter. Some Post-Keynesians[24] have collectively labelled Modern Monetary Theorists as discourteous and accused them of “unscholarly behaviour”. While such accusations can be difficult to evaluate, we suggest that discourteous or unscholarly behaviour is not unique to any particular school, but rather an unfortunate feature of academic debate more broadly.

Lavoie (Lavoie 2024, 72) acknowledges the intense criticism that MMT has faced. While garnering significant attention on social media, MMT has been subjected to a barrage of critiques, both from fellow post-Keynesians and mainstream economists. Some are well-informed, mainly those from heterodox economists, while others are rarely so. It is not always easy to keep one’s cool, when told that ‘MMT is a mix of old and new, the old is correct and well understood, while the new is substantially wrong’ (Palley 2015, 46), or when it is charged that ‘what’s right is not new, what’s new is not right, and what’s left is too simplistic’ (Mann 2020, 1). Despite widespread criticism of MMT, much of which Armstrong (2023) has argued is ill-informed, some Post-Keynesians may adopt a sceptical or dismissive posture towards MMT, particularly when engaging on social media.

[24] It is important to state that, in our experience, this “ugly side” of Post-Keynesianism only applies in the minority of cases.

Unlike Post-Keynesianism, which has very little outreach to the broader community and remains primarily a school centred on academic work, there is a strong presence of self-identifying MMT supporters active on social media, some of whom have only a working knowledge of MMT. As mentioned above, members of this social movement frequently engage in intense debate with academic economists, including leading Post-Keynesians, on social media platforms such as "X". While we acknowledge that such debates can often lead to heated disagreements, which ideally would not be the case, the confrontational nature of internet debates is well-known. If academic economists post links on social media, a critical response is only to be expected. This is the case across many disciplines.

Of course, we sympathise with and accept that Post-Keynesians are well within their rights to complain about the reactions they might receive from people active on social media, some of whom may express support for MMT. Nevertheless, they should refrain from conflating such responses with those of MMT academics. Lavoie appears to reference the criticism of MMT by Drumtez and Pfister (Lavoie 2024, 72–73) without providing explicit references to their work. It is also worth noting that Dirk Ehnts has responded to this criticism (Ehnts 2022).

8.4 A Methodological Challenge to MMT's Critics

In a direct debate between the MMT academic community and economists aligned with other, more established schools, including Post-Keynesians, the importance of the perceived hierarchy of economics in general, and indeed, heterodoxy, is instructive. Within this hierarchical context, critiques often manifest by attributing positions to MMT without rigorous textual engagement. Critiques may present specific claims, such as those regarding money printing, zero-interest-rate mandates, or inflation control via ELR, but often fail to substantiate these claims with direct references to foundational MMT literature. For instance, Lavoie's critique (2024) relies on phrases like "attributed to MMT" or presents contested interpretations of core tenets without accompanying citations to primary MMT sources. The absence of citations to the scholars who developed these ideas creates ambiguity about whether the presented claims reflect MMT's actual arguments or are reconstructions based on secondary commentary or disputed interpretations. Furthermore, where citations are provided, they risk being detached from their original argumentative context, potentially misrepresenting the nuanced positions within MMT scholarship.

This dynamic is evident when some Post-Keynesians, similar to certain mainstream economists, use their platform to criticise MMT while exhibiting a perception of it as a mere "subset" of Post-Keynesianism with limited independent contribution (Aboobaker and Ugurlu 2023). This perspective can contribute to critiques being perceived as insufficiently engaging with MMT's core tenets, potentially leading to responses labelled "unscholarly". Examples include mainstream economist Jonathan Portes' (2019) provocatively titled "Nonsense Economics: the rise of modern monetary theory" and Post-Keynesian Thomas Palley's (2014) highly critical "Modern money theory (MMT): the emperor still has no clothes." While Aboobaker and Ugurlu (2023) show greater restraint in their title critiquing MMT's development policy, Watts &

Armstrong (forthcoming) argue their engagement may still lack depth regarding MMT's distinctive nature and core policy approach.

At this point, we might highlight the importance of Dow's (2018) heuristics[25]. Dow notes "the onus is on each economist to engage in debate about the relative merits of the different approaches, being able to defend her chosen approach, but also able to understand enough about alternative approaches to engage in more-or-less effective communication" (Dow 2018, 10–11). Specifically, we point to the need to "[r]espect the legitimacy of alternative approaches and have an understanding of them… [and]..., [d]on't dismiss arguments from alternative approaches out of hand…" (Dow 2018, 10, parentheses added). Dow summarises the nature of these heuristics as aspects of polite and respectful behaviour for scientists in general and economists in particular. Articles from Post-Keynesians that focus on denying the legitimacy of Modern Monetary Theory (MMT) itself, rather than focusing on specific areas of agreement or disagreement, are unlikely to lead to fruitful discussion but rather promote disharmony within heterodoxy. In effect, MMT economists are required to defend the legitimacy of MMT as a school rather than actively collaborating with fellow heterodox scholars.

Having said all this, it is important to stress that most fellow heterodox economists are valued colleagues of the MMT community. We can speak from personal experience of the many polite and positive discussions, even when disagreements arise.

[25] Dow describes the practical implications of accepting methodological pluralism for the behaviour of economists, describing them in the form of heuristics- both positive and negative. See Armstrong (2018) for fuller analysis of the importance of this issue.

9. Conclusion: Ontological Divergence, Theoretical Clarity and Future Possibilities.

The preceding analysis has demonstrated that the disagreements between PK and MMT cannot be attributed solely to minor technical disputes or stylistic differences. They are rooted in competing ontologies, which represent different ways of understanding the economy, the role of the state, and the construction of economic theory. As argued in Section 2, PK models assume an economy that exists independently of the state, into which the government intervenes. MMT begins with the state as the constitutive actor, constructing markets, creating money, and shaping economic behaviour through fiscal design.

Marc Lavoie's critique (2024), while informed and at times generous, perfectly illustrates this ontological disconnect. His assertion of a “93% agreement” with MMT, intended to build bridges, reflects a deeper ontological divergence that warrants further clarification[26]. The 7% with which he and other critics disagree is not a trivial remainder; it is the visible manifestation of the entire ontological divide. This fraction contains the necessary conclusions that flow directly from MMT's foundational premise. In this light, the disagreement is not one of degree but of kind. The 7% is, in effect, 100% of what distinguishes MMT as an autonomous and coherent paradigm, not merely a variant within PK thought.

This ontological divergence, where the state is seen as the constitutive architect of the monetary economy rather than an intervenor in a pre-existing private sector, necessarily leads to several distinct and coherent MMT positions, including:

- Unemployment: Understood as a direct consequence of fiscal design (the state's monopoly over currency and taxation), rather than purely a market failure, making a Job Guarantee a logical, operational part of the MMT money story.

- Interest Rates: The "natural" or policy rate of interest is zero, and any interest payments on government debt are a policy choice, not a financing requirement for a state with a floating exchange rate policy.

- Involuntary Default: An operational impossibility for a nation that issues debt in its own currency, as it can always meet its nominal obligations. Political defaults, while possible, are entirely voluntary.

- The External Sector: exports are real economic costs; imports are real economic benefits. The nation’s real wealth is domestic output, less exports, plus imports. The primary function of exports is to facilitate desired imports. In addition, there are ‘strategic considerations’ integral for optimising trade policy and ensuring domestic productivity and security of supply.

This fundamental difference in understanding MMT's core paradigm has tangible sociological consequences. Put simply, Lavoie’s chapter shows that, from a PK perspective, MMT has not

[26] 93% being an interesting choice. Rhesus monkeys share 93% of their DNA with humans, and Stigler (1958) uses the same 93% to dismiss an economic theory as non-analytic.

been accepted as a legitimate, stand-alone school. This perceived lack of status means that when advocates of MMT defend their approach against criticism from fellow economists, they are far more likely to be singled out and accused of “unscholarly conduct” than economists operating in more established schools.

Once we accept the ontological distinctions between PK and MMT, we can begin to appreciate the actual source and nature of the complementarity between the two schools. The existence of intra-school differences and debates further complicates the situation. Economists who self-identify as Marxists or Post-Keynesians, for example, do not agree with their colleagues in the same school on all issues (Potts 2020). Discussions centred around disagreements within a school are, potentially, a good thing; productive intra-school debate can lead to the development of economic knowledge. However, an understanding of intra-school differences leads to a realisation that we must resist the temptation to overgeneralise when discussing and trying to posit a representative approach to theory and policy, even within a school.

This is certainly the case within MMT itself. Given his vast experience in capital markets, Mosler might reasonably be considered as ‘living on the dynamic cutting edge of the juxtaposition of theory and practice’. Even within the community of MMT economists, he can find himself alone. A recent example is Mosler’s view on the likely effect of interest rate increases on inflation. In 2022, Mosler proposed that the Fed’s policy of increasing interest rates would not work as intended but would be expansionary. He suggested that, given elevated public debt-to-income ratios, the expansionary effect of the interest income channel would dominate any contractionary effects resulting from making loans more expensive and the differing propensities to spend between savers and borrowers (Armstrong, forthcoming).

In 2025, Mosler observed that the trade policies of the Trump administration were effectively changing the decades-old mercantilist strategies, which centred on foreign states supporting the USD with the express purpose of driving exports to the US within an export-led growth strategy. Mosler notes that this insight was overlooked by the academic and financial communities, who focused their attention on the investment value of the USD —a relatively minor issue compared to the strategic value of driving exports.

In conclusion, acknowledging the existence of both intra-school and inter-school differences of opinion, we re-emphasise the importance of Post-Keynesianism and its complementarity with Modern Monetary Theory. We stress that for genuine dialogue to occur, the foundational differences between MMT and PK must first be acknowledged. Furthermore, we suggest that a deeper engagement with Mosler’s contribution would enhance the practice of PK economists. There is considerable scope for effective collaboration between PK economists and Modern Monetary Theorists, provided the spirit of Dow’s heuristics is adhered to on both sides.

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